

B R A D F O R D S T A R K E , I N C . ®

THE COMPLETE GUIDE TO

STARTING A GOVERNMENT CONTRACTING COMPANY

From Business Formation to First Award
A Step-by-Step Blueprint for the Federal Marketplace

Bradford Starke, Inc. ® | Federal Advisory Services

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BLUF — Bottom Line Up Front

The federal government spends over \$700 billion a year buying goods and services from private companies. **This guide is your blueprint to claim your share.**

Starting a government contracting (GovCon) company is not a side project. It is a business strategy that demands structure, compliance, patience, and precision. But for entrepreneurs who follow the steps, the federal marketplace offers long-term, recession-resistant revenue that no commercial market can match.

Chapter 1: The GovCon Mindset — Before You File a Single Form

Most businesses that fail in government contracting never had a technical problem. They had a mindset problem. The federal marketplace does not operate like commercial business. Speed is replaced by process. Relationships are governed by regulation. And the buyer—the U.S. government—holds every advantage at the negotiation table.

Before you register a single account, internalize these realities:

1.1 The Government Is Not a Normal Customer

Federal agencies buy through a rigid framework called the Federal Acquisition Regulation (FAR). The FAR is the master rulebook—published jointly by the Department of Defense (DoD), the General Services Administration (GSA), and NASA. Every clause in your future contracts traces back to it. There are no handshake deals. There are no verbal commitments that matter. If it is not in writing, it does not exist.

Beyond the FAR, major agencies publish their own supplements. The Pentagon adds the Defense Federal Acquisition Regulation Supplement (DFARS). GSA has the General Services Administration Acquisition Manual (GSAM). If you plan to sell to a specific agency, learn their supplement the same way you would study a major client's internal procurement policies before a pitch.

1.2 GovCon Is a Long Game

Your first federal dollar will not arrive quickly. The average timeline from business formation to first contract award is 12 to 24 months—and that is for companies executing well. Pipeline development, relationship building, and proposal writing all happen before revenue. Budget accordingly.

1.3 Compliance Is Not Optional

The federal government audits. Constantly. The Defense Contract Audit Agency (DCAA) reviews your accounting systems, your billing, and your cost proposals. The Inspector General

(IG) at every agency investigates fraud, waste, and abuse. The False Claims Act (FCA) carries triple damages for knowingly submitting false claims. This is not a market where you cut corners. Build compliance into your DNA from Day One.

Chapter 2: Business Formation — Building the Legal Foundation

Your legal structure is the chassis of your GovCon company. Get it right now, because changing it later while holding active contracts creates serious complications.

2.1 Choose Your Entity Type

Most GovCon companies form as a Limited Liability Company (LLC) or an S-Corporation. Both offer liability protection. The decision often comes down to tax treatment and how you plan to handle owner compensation. Consult with a CPA who understands federal contracting—standard small business tax advice often misses GovCon-specific requirements like Cost Accounting Standards (CAS) considerations.

2.2 State Registration

Register your business with your state's Secretary of State. Obtain your Employer Identification Number (EIN) from the IRS—this is free and takes minutes online. Open a dedicated business bank account. The government will never pay into a personal account, and commingling funds is a compliance red flag that auditors will catch.

2.3 Get Your DUNS and UEI

Every federal contractor needs a Unique Entity Identifier (UEI). This replaced the old DUNS number system. You receive your UEI when you register in the System for Award Management (SAM), which we cover in the next chapter. Without a UEI, you are invisible to the federal buyer.

2.4 Define Your NAICS Codes

The North American Industry Classification System (NAICS) assigns a six-digit code to every industry. Contracting officers assign a NAICS code to every solicitation, which determines the applicable size standard for small business eligibility. Choosing the right NAICS codes is a foundational competitive decision.

You can claim multiple NAICS codes, but be strategic. Each code carries a different revenue or employee-count threshold that determines whether you qualify as a small business. Research the codes used most frequently by the agencies you plan to target. The Small Business Administration (SBA) publishes the full table of size standards.

★ **PRO TIP:** Search SAM.gov and GovWin for solicitations in your target market. Note which NAICS codes appear most often. Let the market tell you which codes matter—not a generic business advisor.

Chapter 3: SAM.gov Registration — Your Federal Passport

This is non-negotiable. You cannot receive a federal contract, grant, or purchase order without an active registration in the System for Award Management (SAM). Period. A lapsed registration can prevent award even after you win a competition.

3.1 What SAM.gov Does

SAM.gov is the government's single registration database for all federal contractors and grantees. It validates your legal business information, banking details, NAICS codes, and socioeconomic status. Contracting officers search SAM.gov to find qualified vendors. If you are not there, you do not exist in their world.

3.2 Step-by-Step SAM Registration

The registration process involves several sequential actions:

Step A — Create a Login.gov Account. This is the federal government's single sign-on platform. You will use it for SAM.gov and many other federal systems. Set up multi-factor authentication immediately.

Step B — Start Your SAM.gov Entity Registration. Enter your legal business name, EIN, physical address, and mailing address. SAM will generate your Unique Entity Identifier (UEI) during this process.

Step C — Enter Your NAICS Codes. Select every NAICS code relevant to your capabilities. You can update these later, but start broad enough to capture opportunity.

Step D — Identify Your Socioeconomic Categories. Self-certify as applicable: small business, woman-owned, veteran-owned, minority-owned. Certain designations (like 8(a) and HUBZone) require separate SBA certification. We cover these in detail in Chapter 6.

Step E — Enter Banking Information. The government pays via Electronic Funds Transfer (EFT). Provide your business bank account and routing number. Accuracy here prevents payment delays.

Step F — Complete Representations and Certifications. These are legal assertions about your business—ownership, compliance, trade agreement adherence, and more. Answer carefully. False statements here can trigger False Claims Act liability.

Step G — Submit and Wait. Initial SAM.gov registration takes 7 to 10 business days for validation. Plan ahead. Do not wait until a proposal deadline is looming.

3.3 Annual Renewal

Your SAM.gov registration expires every 365 days. Set a calendar reminder for 60 days before expiration and renew early. A lapsed registration during a contract award process can disqualify you—even if your proposal was ranked first.

3.4 Your CAGE Code — The Government's ID for Your Company

A CAGE Code (Commercial and Government Entity Code) is a five-character alphanumeric identifier assigned to every company that does business with the federal government. Think of it as your company's fingerprint in the defense and federal procurement ecosystem. No CAGE code, no contracts.

How You Get One

For U.S. companies, your CAGE code is assigned automatically during the SAM.gov registration process. You do not need to apply separately. Once your SAM.gov registration is validated, the Defense Logistics Agency (DLA) assigns your CAGE code and it becomes visible in your SAM.gov profile. International companies must apply directly through the NATO Support and Procurement Agency (NSPA).

What Your CAGE Code Does

Identifies You in Every Federal System. Your CAGE code links to your company across the entire federal procurement infrastructure—SAM.gov, the Federal Procurement Data System (FPDS), the Electronic Subcontracting Reporting System (eSRS), and every contract document you sign. When a contracting officer searches for vendors, your CAGE code is how the system finds you.

Required for DoD Contracts. The Department of Defense uses CAGE codes to track every supplier in its supply chain. If you plan to work as a prime contractor or subcontractor on any defense program, your CAGE code must be active and accurate. DLA maintains the CAGE code database and uses it for logistics, procurement, and supply chain management.

Links to Your Facility Clearance. If you pursue classified work, your Facility Clearance (FCL) is tied directly to your CAGE code. The Defense Counterintelligence and Security Agency (DCSA) uses your CAGE code to identify cleared facilities in the National Industrial Security System (NISS). A mismatch between your CAGE code and your clearance records can delay or block access to classified programs.

Subcontracting and Teaming. Prime contractors will ask for your CAGE code when building teaming arrangements or subcontracting plans. It is one of the first things a prime requests when evaluating you as a potential teammate. Have it ready.

Managing Your CAGE Code

Your CAGE code does not expire, but the information behind it must stay current. Every time you update your SAM.gov registration—new address, new legal name, new ownership—your CAGE code record updates accordingly. If your company undergoes a merger, acquisition, or name change, verify that your CAGE code reflects the new entity. An outdated CAGE code record can cause payment failures, contract award delays, and clearance complications.

★ **PRO TIP:** Bookmark the DLA CAGE Code Search tool (cage.dla.mil). Use it to verify your own record is accurate and to research potential teaming partners and competitors. A company's CAGE code is public information—use it for competitive intelligence.

★ **PRO TIP:** SAM.gov also hosts the Excluded Parties List. Contracting officers check it before every award. If any person on your contract team appears on this list, you are disqualified. Verify your key personnel before every proposal submission.

Chapter 4: Accounting & Compliance Infrastructure

This is where most new GovCon companies stumble. The federal government does not accept standard commercial accounting practices for cost-type contracts. You need a system that tracks direct costs, indirect costs, and allocations with precision—because auditors will test every number.

4.1 Build a DCAA-Compliant Accounting System

The Defense Contract Audit Agency (DCAA) is the government's financial watchdog for DoD contracts. Even if your first contracts are not with DoD, building a DCAA-compliant system from the start saves you massive retrofitting costs later. The essentials include:

Segregation of Direct and Indirect Costs. Direct costs (labor, materials) are charged to specific contracts. Indirect costs (rent, utilities, corporate staff) are pooled and allocated across all contracts. Never charge an indirect cost directly to a contract or vice versa.

Timekeeping System. Every employee must record time daily, distinguishing between direct and indirect hours. Your timekeeping system is the first thing DCAA auditors review. Sloppy time records are a fast path to adverse audit findings.

Job Cost Tracking. Every contract must have its own cost center. You must be able to pull a report showing every dollar charged to a specific contract at any time.

Consistent Rate Structure. Understand your Overhead Rate (OH), General and Administrative Rate (G&A), and Fringe Benefit Rate (FB). These indirect rates are loaded onto direct costs to calculate your fully burdened rates—which is how you price proposals.

4.2 Understand Your Rate Structure

Your rate structure is the engine of your pricing competitiveness. Here is how the key rates work:

Rate	What It Covers	Typical Range
Fringe Benefit Rate (FB)	Health insurance, retirement, payroll taxes, PTO	25–40%
Overhead Rate (OH)	Facilities, department management, shared equipment	30–80%
General & Administrative (G&A)	Executive salaries, legal, accounting, corporate IT	8–20%

A high G&A rate makes you less competitive. Control it relentlessly. Every unnecessary corporate expense directly inflates the price on your proposals.

4.3 Forward Pricing Rate Agreements

As your business matures, you can negotiate a Forward Pricing Rate Agreement (FPRA) with the government—a pre-agreed set of overhead, G&A, and fringe rates for use in future

proposals. An FPRA speeds up negotiations dramatically because you are not re-arguing rates on every deal. Until you have an FPRA, the government's auditors will issue a Forward Pricing Rate Recommendation (FPRR)—their unilateral rate opinion. Know what your FPRR says before you price any proposal.

4.4 Allowable vs. Unallowable Costs

The FAR, Part 31, defines which costs the government will pay on cost-type contracts. Lobbying costs? Unallowable. Entertainment? Unallowable. Certain legal fees? Unallowable. Charging unallowable costs to the government is not just a billing error. It is fraud under the False Claims Act. Build a chart of accounts that flags unallowable costs at the point of entry.

Chapter 5: Market Research & Strategic Positioning

You are now a legal entity, registered in SAM.gov, with a compliant accounting system. Good. Now comes the question that separates winners from spectators: Who is your customer, and what do they need?

5.1 Conduct Market Research Like the Government Does

Agencies are required to conduct Market Research (MR) before every acquisition. You should do the same—in reverse. Study which agencies buy what you sell. The primary research tools are:

SAM.gov Contract Opportunities. Search active solicitations, pre-solicitation notices, and Sources Sought Notices (SSNs). SSNs are particularly valuable—they signal that an agency is still deciding whether to set aside a procurement for small business.

USAspending.gov. The public database of every federal transaction. Search by NAICS code, agency, and contract type to see who is winning, at what price, and under what vehicle.

FPDS.gov (Federal Procurement Data System). The granular data source behind USAspending. Lets you filter by contract type, award size, small business status, and set-aside type.

GovWin (Deltek) and Bloomberg Government. Commercial intelligence platforms that provide early pipeline visibility, agency forecasts, and competitor analysis. These are paid tools—and worth every dollar for serious players.

5.2 Identify Your Target Agencies

Do not try to sell to the entire government at once. Pick two to three agencies whose missions align with your capabilities. Understand their buying offices, their current contract vehicles, and their upcoming recompetitions. The major federal customers include:

Agency	Annual Spend	Key Focus Areas
Department of Defense (DoD)	\$400B+	Weapons, IT, logistics, cybersecurity, services
Department of Health & Human Services (HHS)	\$130B+	Health IT, grants management, public health
General Services Administration (GSA)	\$75B+	IT, professional services, real estate
Department of Homeland Security (DHS)	\$30B+	Border security, cybersecurity, emergency mgmt
NASA	\$20B+	R&D, aerospace, engineering services

5.3 Build Relationships Before the RFP Drops

The competition does not start when the Request for Proposal (RFP) hits the street. It started months—sometimes years—earlier. Exchanges with Industry (EWI), including agency Industry Days, one-on-one meetings, and draft RFP reviews, are your best chance to shape requirements before the formal competition begins.

Respond to every relevant Request for Information (RFI). An RFI is a formal market research tool where the government asks industry about capabilities and pricing but makes no commitment to award. Smart contractors use RFIs to position themselves as known quantities in the market.

5.4 Understand Contract Vehicles

Federal dollars flow through specific contract vehicles. Understanding these is critical to your go-to-market strategy:

The Multiple Award Schedule (MAS). GSA's massive pre-negotiated catalog of commercial products and services. Being a MAS contractor means agencies can buy from you without running a full competition. It is the federal equivalent of being on an approved vendor list.

Indefinite Delivery / Indefinite Quantity (IDIQ). A master contract with no fixed quantity. The government commits to a minimum purchase, and the contractor is eligible for task orders over the contract's life. IDIQs are the backbone of modern federal contracting.

Governmentwide Acquisition Contracts (GWACs). A special IDIQ available to all federal agencies. Vehicles like CIO-SP4 and Alliant 2 are billion-dollar gateways. Getting on one opens the entire federal marketplace.

Blanket Purchase Agreements (BPAs). Streamlined ordering against a MAS contract or the open market. Think of it as a corporate credit account—the agency sets it up once, then places orders quickly without re-competing.

Other Transaction Authority (OTAs). A contracting mechanism outside the FAR, used primarily by DoD and DHS to accelerate prototyping for innovative technologies. OTAs move at commercial speed and are the closest thing to a startup-friendly federal contract.

Chapter 6: SBA Small Business Programs & Set-Asides — The Deep Dive

This chapter is the most important in the entire guide for small businesses. Set-asides are the single largest competitive advantage available to qualifying firms in the federal marketplace. Understand every program. Know which ones you qualify for. Then use them aggressively.

6.1 How Set-Asides Work

Federal agencies are required by law to award a percentage of their contract dollars to small businesses. The current government-wide goals are:

Category	Government-Wide Goal	Description
Small Business (overall)	23%	All small business categories combined
Small Disadvantaged Business (SDB)	5%	Includes 8(a) firms
Women-Owned Small Business (WOSB)	5%	Firms 51%+ owned by women
Service-Disabled Veteran-Owned (SDVOSB)	3%	Veteran with service-connected disability
HUBZone Small Business	3%	Located in economically distressed areas

When a contracting officer determines—through Market Research—that two or more capable small businesses exist for a requirement, they must set the procurement aside for small business competition. This means large businesses cannot compete. The playing field shrinks dramatically in your favor.

6.2 Size Standards — Are You Actually “Small”?

The SBA defines “small” differently for each NAICS code. Size standards are based on either average annual revenue (over the last five fiscal years for most industries) or average number of employees (over the last 24 months, primarily for manufacturing). Here are examples:

NAICS Code	Industry	Size Standard
541512	Computer Systems Design Services	\$34 million revenue
541611	Administrative Management Consulting	\$19.5 million revenue
541330	Engineering Services	\$25.5 million revenue
561210	Facilities Support Services	\$47 million revenue
336411	Aircraft Manufacturing	1,500 employees
238220	Plumbing/HVAC Contractors	\$19 million revenue

If your revenue or employee count exceeds the size standard for a given NAICS code, you are not small for that code—even if you consider yourself a small company. Size eligibility is code-specific, not company-wide.

CRITICAL: Affiliation rules apply. If another company controls your management, your finances, or your board, the SBA may count their revenue as yours. Joint ventures, teaming arrangements, and family-owned businesses all trigger affiliation scrutiny. Consult a GovCon attorney before assuming you are small.

6.3 The 8(a) Business Development Program

This is the most powerful market entry tool in federal contracting. Run by the SBA, the 8(a) program is designed for socially and economically disadvantaged entrepreneurs.

Eligibility Requirements

Social Disadvantage. The applicant must demonstrate social disadvantage based on race, ethnicity, gender, disability, or other recognized conditions. Members of designated groups (Black Americans, Hispanic Americans, Native Americans, Asian Pacific Americans, and Subcontinent Asian Americans) are presumed socially disadvantaged.

Economic Disadvantage. The owner's personal net worth must not exceed \$850,000 (excluding primary residence and business equity). Adjusted gross income must not exceed \$400,000 averaged over three years. Total assets must not exceed \$6.5 million.

Ownership and Control. The disadvantaged individual must own at least 51% of the business and control its management and daily operations.

Business Size. The firm must be small under SBA size standards for its primary NAICS code.

Good Character. No criminal record that would bring the program into disrepute.

Potential for Success. The business must have been operating for at least two years (this can be waived in certain circumstances).

What You Get

The 8(a) program runs for nine years—four developmental and five transitional. During this period:

Sole-Source Awards. Agencies can award contracts directly to your 8(a) firm without competition, up to \$4.5 million for services or \$7 million for manufacturing. This is extraordinary. No RFP. No competition. A direct path to revenue.

Competitive 8(a) Set-Asides. Procurements set aside exclusively for 8(a) firms, eliminating non-8(a) competition.

Mentorship and Business Development. SBA assigns a Business Opportunity Specialist (BOS) to help your firm develop strategy, find opportunities, and grow capacity.

Joint Ventures with Mentor Firms. Through the SBA Mentor-Protégé Program (MPP), your 8(a) firm can form a joint venture with a large mentor company, accessing their past performance, resources, and contract vehicles while maintaining your small business status.

6.4 Service-Disabled Veteran-Owned Small Business (SDVOSB)

If you are a veteran with a service-connected disability rating from the VA, this program opens significant doors—especially at the Department of Veterans Affairs, which has aggressive SDVOSB goals.

Eligibility Requirements

Veteran Status. Must be a veteran of the U.S. Armed Forces.

Service-Connected Disability. Must have a disability rating from the VA (any percentage qualifies).

Ownership. The service-disabled veteran must own at least 51%.

Control. The veteran must control the management and daily business operations.

Certification. SDVOSB status is now certified through SBA's VetCert program (previously managed by VA's Center for Verification and Evaluation).

Advantages

SDVOSB firms can receive sole-source awards up to \$4.5 million for services and \$7 million for manufacturing. At the VA, the Veterans First Contracting Program gives SDVOSBs priority over all other small business categories. This is a massive advantage for firms targeting VA work.

6.5 Women-Owned Small Business (WOSB) Program

Eligibility Requirements

Ownership. At least 51% owned and controlled by one or more women who are U.S. citizens.

Management. Women must manage the daily business operations.

Size. Must be small under NAICS-specific size standards.

Certification. Self-certification is no longer sufficient. WOSB status must be certified through SBA or an approved third-party certifier.

Economically Disadvantaged WOSB (EDWOSB)

An additional tier for women owners whose personal net worth is below \$850,000 and adjusted gross income is below \$400,000 averaged over three years. EDWOSB set-asides are available in all NAICS codes where women-owned businesses are underrepresented. Standard WOSB set-asides are limited to codes where women-owned firms are substantially underrepresented.

6.6 HUBZone Program

The Historically Underused Business Zone (HUBZone) program is one of the most underused advantages in federal contracting.

Eligibility Requirements

Location. Your principal office must be in a designated HUBZone (check the SBA's HUBZone map).

Workforce. At least 35% of your employees must reside in a HUBZone.

Ownership. At least 51% owned by U.S. citizens, a Community Development Corporation, an agricultural cooperative, a Native entity, or an Indian tribe.

Size. Must be small under SBA size standards.

Advantages

HUBZone firms receive a 10% price evaluation preference in full and open competitions. That means if your price is within 10% of a non-HUBZone competitor, the government treats your price as if it matched theirs. You also get access to HUBZone set-aside contracts. Location is literally a competitive advantage.

6.7 Veteran-Owned Small Business (VOSB)

For veterans without a service-connected disability. The VOSB certification provides access to VA's Veterans First program (after SDVOSBs receive priority) and signals veteran-owned status to all federal agencies. Certification is through SBA's VetCert program.

6.8 Small Disadvantaged Business (SDB)

SDB status provides benefits in the evaluation of certain federal contracts. SDB-owned firms receive a price evaluation adjustment (typically a factor, not a fixed percentage) that can tip close competitions in their favor. SDB certification is now based on self-certification through SAM.gov for firms meeting SBA's criteria.

6.9 Mentor-Protégé Programs

The SBA's All Small Mentor-Protégé Program allows any small business with an SBA certification (8(a), HUBZone, SDVOSB, WOSB) to pair with a larger mentor firm. The DoD also runs its own Mentor-Protégé Program.

What the Mentor Provides. Business development assistance, equipment, financing, technical help, and access to their past performance for joint venture proposals.

What the Protégé Gets. Access to contract vehicles and opportunities that would otherwise be out of reach. The joint venture formed under the program can compete for set-aside contracts using the protégé's small business status.

The Critical Rule. The protégé must perform at least 40% of the joint venture's work. This is not a pass-through arrangement.

6.10 SBIR and STTR — Innovation Funding

If your company develops technology or innovative solutions, two programs provide non-dilutive R&D funding:

Small Business Innovation Research (SBIR). A three-phase program: Phase I is feasibility (typically \$50K–\$275K), Phase II is prototype development (up to \$1M+), and Phase III is commercialization using non-SBIR federal funds. SBIR is America’s largest innovation funding program.

Small Business Technology Transfer (STTR). Like SBIR, but requires formal collaboration with a research institution. At least 30% of work must go to the partnering university or federal lab. STTR bridges academic research and commercial application.

Both programs carry special data rights protection. SBIR Data Rights protect your intellectual property for 20 years from the contract award date. Understand this before signing any commercialization agreement.

6.11 Set-Aside Strategy: Stacking Your Advantages

The most sophisticated small businesses do not rely on a single set-aside. They stack multiple certifications:

Certification Stack	Strategic Advantage
8(a) + HUBZone	Access to both sole-source 8(a) awards AND the HUBZone 10% price preference
SDVOSB + 8(a)	Priority at VA under Veterans First, plus 8(a) sole-source authority across all agencies
WOSB + HUBZone	Dual set-aside eligibility in underrepresented NAICS codes, plus price preference
Any SB + Mentor-Protégé	Small business status of protégé + past performance and resources of mentor firm

★ **PRO TIP:** Track the government’s small business scorecard for your target agencies. Agencies that are behind on their goals in a specific category (e.g., HUBZone or SDVOSB) are actively looking for qualified firms to close the gap. That’s your opening.

Chapter 7: Getting on the GSA Schedule

A GSA Multiple Award Schedule (MAS) contract is one of the most powerful tools in your GovCon arsenal. It pre-negotiates your pricing with the government and allows agencies to buy from you quickly without running a full competition.

7.1 Is a GSA Schedule Right for You?

The GSA Schedule is best suited for companies that sell commercial products or services. You need at least two years of corporate experience and a track record of relevant past performance. If you are a brand-new company with no revenue, the GSA Schedule is a Year 2–3 objective—not a Day 1 move.

7.2 The Application Process

Applying for a GSA Schedule involves preparing an offer package through GSA's eOffer system. Key components include:

Commercial Sales Practice Format (CSP). Disclose your commercial pricing practices, including discounts offered to your best customers. GSA uses this to negotiate your government pricing.

Price Proposal. Your proposed pricing for each product or service. GSA will compare this to your commercial pricing and negotiate discounts.

Technical Proposal. Demonstrate your technical capability and relevant experience for each Special Item Number (SIN) you are applying for.

Past Performance References. Provide references for relevant work performed in the last three to five years.

Financial Documentation. Financial statements demonstrating your company's stability.

The process takes 3 to 12 months depending on your SIN category and the completeness of your offer. Budget accordingly and respond to GSA's questions quickly—delays in your responses extend the timeline.

7.3 Pricing Strategy on GSA Schedule

Your GSA Schedule price becomes your ceiling. You can always offer agencies a lower price, but you can never charge above your Schedule price. Price too high and agencies will buy from your competitors. Price too low and you have locked yourself into margins that may not sustain your business. Work with a GSA Schedule consultant to model your pricing before submission.

Chapter 8: Writing Winning Proposals

A proposal is not a brochure. It is a legal offer that will be scored, compared, and held against you. Every word matters.

8.1 Know the Solicitation Inside Out

Before you write a single sentence, read the Request for Proposal (RFP) three times. Focus on:

Section L (Instructions). Tells you HOW to write your proposal—format, page limits, font size, volume structure. Violating Section L instructions can get your proposal rejected without evaluation.

Section M (Evaluation Criteria). Tells you HOW you will be scored. The evaluation criteria are your scoring rubric. Every paragraph you write must map to a specific evaluation factor.

The Statement of Work (SOW) or Performance Work Statement (PWS). Defines WHAT the government needs. Your technical approach must address every requirement, explicitly.

8.2 Evaluation Methods

Understand which evaluation method the government is using:

Best Value Tradeoff (BVT). The government weighs technical merit, past performance, and price against each other. A technically superior proposal can win at a higher price if evaluators justify the tradeoff. This is your arena if you compete on quality.

Lowest Price Technically Acceptable (LPTA). Meet the technical threshold, then compete purely on price. LPTA turns your capabilities into a commodity. If the solicitation is LPTA, your only differentiator is cost.

8.3 The Evaluation Process

Your proposal will be read by a Source Selection Evaluation Board (SSEB)—technical experts who score each volume against Section M criteria. Their written evaluation becomes the foundation for any protest. Never give evaluators a reason to write a weakness.

Proposals are typically rated on a color or adjectival scale: Outstanding, Good, Acceptable, Marginal, Unacceptable. One “Unacceptable” rating in a critical area can eliminate an otherwise excellent proposal.

The Source Selection Authority (SSA)—a senior government official—makes the final award decision based on the SSEB’s findings and the Source Selection Advisory Council (SSAC)’s recommendation.

8.4 Past Performance — Your Track Record Is Currency

Agencies will check your Contractor Performance Assessment Reporting System (CPARS) record before award. Exceptional CPARS ratings are a marketable asset. Poor ratings follow you for years. On every current contract, treat performance reporting as a strategic priority, not administrative overhead.

Agencies also send Past Performance Questionnaires (PPQs) to your references. A single bad PPQ response can cost you millions. Choose your references deliberately and prepare them before submissions.

Chapter 9: Cybersecurity Compliance & Security Clearances

If you plan to work with the Department of Defense or any agency that handles sensitive information, cybersecurity compliance is not optional—it is a gate.

9.1 CMMC — The New Standard

The Cybersecurity Maturity Model Certification (CMMC) is DoD's mandatory cybersecurity certification framework. It has three tiers:

Level	Name	Requirements
Level 1	Foundational	17 basic cyber hygiene practices (self-assessment)
Level 2	Advanced	110 practices aligned with NIST SP 800-171 (third-party assessment)
Level 3	Expert	110+ practices plus additional NIST SP 800-172 controls (government assessment)

No CMMC certification means no DoD contract. It is that simple. Begin your compliance journey now, even if DoD work is a future goal. Remediation takes months, not weeks.

9.2 Controlled Unclassified Information (CUI)

CUI is government information that requires protection but is not classified. If DoD data touches your networks, you must comply with NIST SP 800-171 standards. CMMC certifies that you are meeting these requirements. Non-compliance exposes you to False Claims Act liability if you misrepresent your cybersecurity posture.

9.3 Facility Clearances (FCL) — Your Gateway to Classified Work

If you want to work on classified programs—and the highest-value defense contracts are often classified—your company needs a Facility Clearance (FCL). This is not a quick process. It is a multi-month commitment that touches your physical location, your corporate governance, and the personal lives of your key executives.

What a Facility Clearance Is

An FCL is an administrative determination by the Defense Counterintelligence and Security Agency (DCSA) that your facility is eligible to access, store, or process classified national security information. It is governed by the National Industrial Security Program (NISP) and documented in the National Industrial Security Program Operating Manual (NISPOM, now codified as 32 CFR Part 117). Your FCL is tied to your CAGE code and physical address—if you move, your clearance process restarts.

FCL Levels

Facility Clearances come in tiers that mirror personnel clearance levels:

FCL Level	Access Authorized	Typical Use Cases
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Confidential	Confidential information only	Basic supply chain, some logistics contracts
Secret	Confidential and Secret information	Most classified DoD and IC contracts
Top Secret	Confidential, Secret, and Top Secret	Advanced weapons, intelligence programs, sensitive R&D

Most new GovCon companies start with a Secret FCL. Top Secret requires significantly more scrutiny and a demonstrated need.

How to Get a Facility Clearance

Step 1 — You Need Sponsorship. You cannot apply for an FCL on your own. A government agency or a cleared prime contractor must sponsor your application. This means you need a contract, pre-contract, or a letter of intent that requires access to classified information. The sponsoring entity submits a request to DCSA on your behalf.

Step 2 — Register in NISS. DCSA manages clearances through the National Industrial Security System (NISS). Once sponsored, your company is entered into NISS and assigned a case. Your CAGE code links your FCL record to your SAM.gov profile.

Step 3 — Designate Key Management Personnel (KMP). You must identify your Key Management Personnel—typically your CEO, President, Facility Security Officer (FSO), and any owner with significant authority. Every KMP must obtain an individual personnel security clearance at the same level as the FCL. This involves a background investigation including financial history, foreign contacts, criminal records, and personal interviews.

Step 4 — Appoint a Facility Security Officer (FSO). The FSO is your company's point of contact with DCSA and is responsible for managing your entire security program. The FSO must hold a clearance and complete required security training. For small companies, the FSO role is often filled by a principal or a dedicated employee—but it is not a part-time afterthought. The FSO manages visit requests, derivative classification decisions, security incident reporting, and annual security reviews.

Step 5 — Resolve Foreign Ownership, Control, or Influence (FOCI). If any foreign person, company, or government has ownership, control, or influence over your business, DCSA will flag it. FOCI can be mitigated through board resolutions, voting trust agreements, proxy agreements, or Special Security Agreements (SSAs)—but unresolved FOCI will block your FCL.

Step 6 — Pass the Security Vulnerability Assessment. DCSA will assess your facility—physical security, information systems, document storage, and access controls. For Secret-level work without on-site classified storage, requirements are less stringent. If you need to store classified materials, you will need a compliant safe, an approved intrusion detection system, and potentially a Sensitive Compartmented Information Facility (SCIF) for Top Secret/SCI work.

Step 7 — Receive Your FCL Determination. Once DCSA completes its review, your FCL is granted and recorded in NISS. The entire process takes 6 to 18 months depending on complexity, FOCI considerations, and the backlog at DCSA.

Maintaining Your FCL

An FCL is not a one-time achievement. Ongoing requirements include:

Annual Self-Inspections. Your FSO must conduct and document an annual security review of your facility and practices.

Change Reporting. Any change to your corporate structure—mergers, acquisitions, new KMP, address changes, foreign investment—must be reported to DCSA immediately. Unreported changes can result in FCL suspension or revocation.

Insider Threat Program. NISPOM requires all cleared facilities to maintain an insider threat program that detects and mitigates potential threats from within your own workforce.

Security Education and Training. All cleared employees must receive initial and annual refresher security briefings.

★ **PRO TIP:** You can check any company's facility clearance status through the DCSA Industrial Security portal. Use this when evaluating teaming partners for classified work—never take a potential partner's word for their clearance level without verification.

9.4 Personnel Security Clearances

Individual employees who need access to classified information must hold their own security clearance. The levels mirror the FCL tiers: Confidential, Secret, and Top Secret. Top Secret clearances include a Single Scope Background Investigation (SSBI). Some programs require additional access approvals like Sensitive Compartmented Information (SCI) or Special Access Programs (SAPs).

Clearance processing times vary. As of recent years, Secret clearances average 2 to 4 months and Top Secret clearances average 6 to 12 months, though backlogs can extend these timelines. Having pre-cleared personnel on staff is a significant competitive advantage—it means you can start work immediately on classified task orders without waiting for clearance processing.

Chapter 10: Life After Award — Contract Administration

Winning the contract is just the beginning. Revenue is protected or lost in contract administration.

10.1 Know Your Government Counterparts

The Contracting Officer (CO). The only government official with legal authority to sign, modify, or terminate your contract. Never take direction from anyone else unless they have a CO warrant. Unauthorized commitments from other officials are a contractor's nightmare.

The Contracting Officer's Representative (COR). Your on-the-ground technical manager. The COR monitors performance, approves deliverables, and communicates with you daily—but cannot change the contract without the CO's authority. Build this relationship carefully.

The Program Manager (PM). The government's overall program champion. The PM controls requirements, budget, and schedule at the program level. Knowing both the CO and PM—and who has more influence—is essential.

10.2 Contract Modifications

Every scope change, period of performance extension, or price adjustment comes through a formal Contract Modification (Mod). Never perform work without a signed modification authorizing it. If the government asks you to do something outside the current scope, respond in writing and request a modification. Performing out-of-scope work without a mod means you may never get paid for it.

10.3 Protect Your Revenue

Request for Equitable Adjustment (REA). When the government causes changes or delays that increase your costs, file an REA. Document every government-caused impact in real time. Waiting until the contract ends to reconstruct costs is a losing strategy.

Value Engineering (VE). Propose cost-saving changes to the contract. If the government accepts, you typically share in the savings. VE is one of the few ways to generate upside on a fixed-price contract after award.

10.4 Avoid Termination

The government has two termination tools:

Termination for Convenience (T4C). The government can end your contract at any time for any reason—even if you have done nothing wrong. You are entitled to recover costs incurred plus a reasonable profit on work performed. Know the settlement procedures.

Termination for Default (T4D). Termination because you failed to perform. The government can demand procurement costs from you. A T4D on your record is devastating to future business. If you receive a Cure Notice or Show Cause Notice, respond immediately—in writing—with a recovery plan, and involve legal counsel at once.

10.5 Subcontracting Plans

If you are a large business (or grow into one), contracts over \$750,000 require a formal Subcontracting Plan (SP) with goals for using small businesses as subcontractors. Failing to meet subcontracting goals can cost you future awards and even trigger liquidated damages on some contracts.

Chapter 11: Bid Protests & Contract Disputes

You lost an award you believe you should have won. Or the government is making decisions that hurt your contract. The federal system gives you tools to fight back.

11.1 Bid Protests

A bid protest is a formal challenge to the government's award decision. The most common venue is the Government Accountability Office (GAO). GAO protests must be filed within specific timeframes—typically 10 days after you know (or should have known) the basis for protest. A successful GAO protest can result in the government re-evaluating proposals, reopening discussions, or even re-awarding the contract.

Before protesting, request a debrief from the Contracting Officer. Debriefs reveal your strengths, weaknesses, and how you compared to the winner. This information is essential for deciding whether a protest has merit.

11.2 Contract Disputes

If you have a dispute with the government over money, scope, or performance, the process follows the Contract Disputes Act. File a claim with the Contracting Officer. The CO will issue a Contracting Officer's Final Decision (COFD). If you disagree, you have 90 days to appeal to the Armed Services Board of Contract Appeals (ASBCA) or 12 months to file suit in the U.S. Court of Federal Claims.

Document everything. The contractor who wins disputes is the one with contemporaneous records—emails, meeting notes, photographs, and cost records created at the time of the event, not reconstructed after the fact.

Chapter 12: Scaling Your GovCon Business

Your first contract is a milestone. Your first recompetition win is validation. But building a lasting GovCon company requires deliberate scaling.

12.1 Intellectual Property Strategy

Negotiate your data rights on every contract. The government's default is broad rights to technical data and software. Push for Limited Rights on data developed at your expense and Government Purpose Rights on mixed-funded work. Protect your intellectual property—it is your most valuable long-term asset.

12.2 Build Past Performance Deliberately

Every contract is a building block for the next one. Target contracts that give you relevant past performance in your growth areas. A single well-executed IDIQ task order in cybersecurity is worth more to your pipeline than five miscellaneous service contracts.

12.3 Teaming and Joint Ventures

You do not have to win alone. Joint Ventures (JVs) allow small firms to access large contract vehicles. Teaming arrangements as a subcontractor to a prime build your past performance while managing risk. The Mentor-Protégé Program formalizes these relationships with SBA oversight.

12.4 Plan for Graduation

If you are in the 8(a) program, you have nine years. If you are growing revenue, you will eventually exceed your NAICS size standards. Plan your graduation from small business status deliberately—do not let it surprise you. Secure long-term contract vehicles, build a subcontracting base, and develop the infrastructure to compete as a mid-tier or large business before your small business advantages expire.

Master Checklist: Your First 12 Months

Timeframe	Action Item	Status
Month 1	Form legal entity (LLC or S-Corp)	☐
Month 1	Obtain EIN from IRS	☐
Month 1	Open dedicated business bank account	☐
Month 1–2	Register in SAM.gov and obtain UEI	☐
Month 1–2	Identify primary NAICS codes	☐
Month 1–2	Research and apply for SBA certifications (8(a), SDVOSB, WOSB, HUBZone)	☐

Month 2–3	Set up DCAA-compliant accounting system	☐
Month 2–3	Establish timekeeping system	☐
Month 2–3	Calculate indirect rate structure (OH, G&A, Fringe)	☐
Month 3–4	Conduct market research (SAM.gov, USAspending, FPDS)	☐
Month 3–4	Identify two to three target agencies	☐
Month 3–6	Attend agency Industry Days and networking events	☐
Month 4–6	Respond to RFIs and Sources Sought Notices	☐
Month 6–12	Begin GSA Schedule application (if eligible)	☐
Month 6–12	Submit first proposal	☐
Month 6–12	Begin CMMC compliance preparation (if targeting DoD)	☐
Ongoing	Maintain SAM.gov registration (renew annually)	☐
Ongoing	Monitor CPARS ratings on active contracts	☐
Ongoing	Track SBA small business scorecard for target agencies	☐

The Closer

★ **THE EDGE:** The contractors who win are not the ones with the best capabilities—they are the ones who understood the rules, built the infrastructure, and showed up prepared before the competition started. Now go build.

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